Q3 2025

Custom Managed Portfolios

Guardian Canadian Equity Income

Quick facts

Asset class:
Canadian Large Cap

Management style:
GARP[1]

Number of holdings:
35

Sub-advisor:
Guardian Capital

Portfolio manager:
Aviso Wealth

Minimum investment:
$150,000

Inception Date:
01-Jan-2003

aviso wealth

What does the strategy invest in?

This strategy will invest in equities of Canadian large capitilization companies that produce stable, predictable cash flows and distributions. The portfolio will generally consist of 30- 40 securities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	12.2%	25.6%	24.3%	17.6%	19.3%	10.7%	11.9%
Benchmark[5]	10.9%	20.2%	21.1%	16.3%	18.5%	11.2%	11.1%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	13.3%	8.9%	6.1%	31.0%	-6.2%	20.8%	-10.1%
Benchmark[5]	15.7%	8.1%	0.6%	36.1%	-7.4%	25.8%	-10.8%

Standard deviation	8.7%	Sortino ratio	1.38	Downside capture	74.9%
Sharpe ratio	1.17	Beta (Equity)	0.91	Upside capture	89.2%

Largest holdings

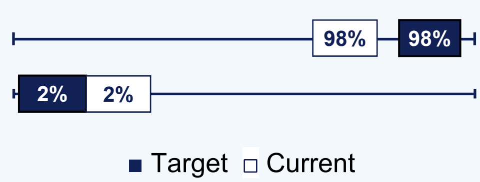
1.	ROYAL BANK OF CDA	7.8%	**6.**	BK OF MONTREAL	3.8%
2.	AGNICO EAGLE MINES LTD	7.3%	**7.**	CDN NTL RAILWAY CO	3.4%
3.	TORONTO DOMINION BK	6.1%	**8.**	CDN NTRL RES LTD	3.3%
4.	ENBRIDGE INC	4.2%	**9.**	BK OF NOVA SCOTIA	3.2%
5.	OPEN TEXT CORP	4.0%	**10.**	ELEMENT FLEET MANAGEMENT	3.2%

Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
3.5%	32.71	16.99	3.19	3.36	83.52B	38.6%

Target allocations

Asset class	Min	Max
Canadian equities	50%	100%
Cash & cash equivalents	0%	10%



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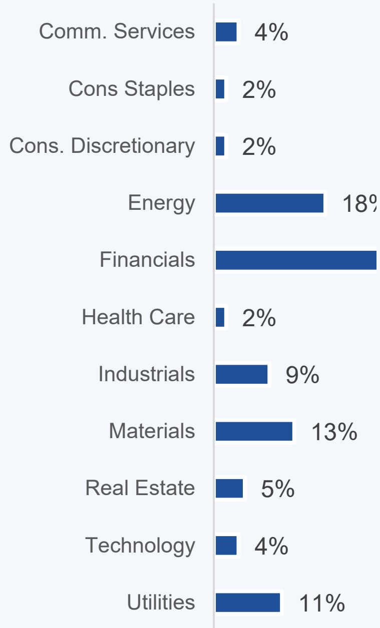
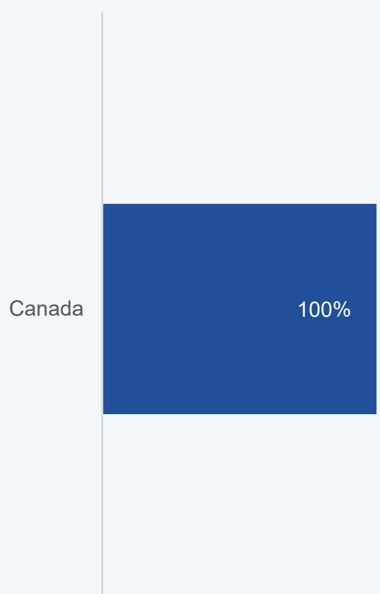
Sector breakdown



Geographic allocation



Quarterly commentary

Global Markets
Global equity markets advanced 7.62% over the quarter (MSCI All-Country World Index), while global markets excluding the U.S. gained 6.89% (MSCI ACWI ex-US). The rally reflected easing trade tensions, optimism over technological innovation, and expectations that major central banks would begin loosening policy. The U.S. Federal Reserve delivered its first rate cut of the year in September, which supported global valuations. Improving sentiment and ongoing enthusiasm around artificial intelligence (AI) further boosted equities to new highs despite lingering inflation risks.
Broad Markets
Canada was the best-performing equity market globally, with the S&P/TSX Composite Total Return Index up 12.50%, while the MSCI EAFE Index was the weakest, returning 4.77%. Canada's outperformance stemmed from its heavy resource and financial exposure—both of which surged as gold and base metals rallied and financial conditions stabilized. The Materials sector climbed over 37%, driven by record gold prices. Conversely, Europe and Asia lagged amid sluggish growth. Germany's market fell into negative territory, pulling down the MSCI Europe ex-UK Index to +2.8% and weighing on international performance overall.
Broad Markets (CAD)
In Canadian dollar terms, returns were lifted by currency movements. The MSCI Emerging Markets Index (CAD) returned 13.05%, while the MSCI EAFE Index (CAD) gained 7.04%. The weaker Canadian dollar—down roughly 2.3% against the U.S. dollar—boosted foreign equity returns for Canadian investors. Emerging Asia's tech-led rebound translated into double-digit CAD gains, while Europe's modest performance improved to just over 7%. Currency effects enhanced global portfolio results even as Canadian equities led in local terms.

Canadian Markets
The S&P/TSX Composite Index advanced 12.50% in Q3. Small-cap stocks outperformed sharply, with the S&P/TSX SmallCap Index up 20.86%, versus the S&P/TSX 60's 11.52% gain. The rally reflected renewed investor risk appetite and cyclical strength. Junior mining and energy firms led advances alongside rising commodity prices, while larger banks and telecoms posted more moderate gains. Canada's market benefited from its sector composition—resources and financials—which aligned with the quarter's themes of reflation and risk-on sentiment.
TSX Sectors
Top-performing sectors were Materials, Information Technology, and Energy.
- Materials surged on record gold prices, with miners like Barrick Gold up over 60%.
- Information Technology climbed more than 13%, led by Shopify's 30% advance on strong merchant growth.
- Energy rose about 11%, supported by mid-quarter oil strength and resilient demand expectations.

The weakest sectors were Consumer Discretionary, Consumer Staples, and Industrials, all posting low single-digit returns. Consumer names faced headwinds from high interest rates and constrained household budgets, while defensives underperformed in the risk-on environment. Industrials fell roughly 1.6% as transportation and capital goods stocks saw profit-taking.

US Markets
U.S. equities delivered robust gains, with the S&P 500 up 8.12%, the NASDAQ Composite +11.41%, and the Dow Jones Industrial Average +5.67%. Small-caps also rebounded, with the Russell 2000 Index up 12.39%. A mix of cooling inflation, steady earnings, and expectations for Fed rate cuts fueled optimism. The Federal Reserve's 25 bps September rate cut—the first in years—marked a policy shift that energized risk assets.
Mega-cap technology firms dominated performance. Tesla rose nearly 40%, Alphabet gained 38%, and the "Magnificent Seven" (including Apple, Microsoft, and NVIDIA) drove record highs. Value-oriented and defensive stocks lagged, while growth and AI-related names led.
S&P 500 Sectors
Top performers were Information Technology (+13%), Communication Services (+12%), and Consumer Discretionary (+9%), benefiting from AI momentum, cloud demand, and resilient consumer spending. Alphabet and Amazon—both in these sectors—helped lift results.
The weakest were Materials (+2.6%), Real Estate (+1.7%), and Consumer Staples (-2.9%). Materials struggled outside of precious metals, Real Estate faced valuation pressure from higher yields, and Consumer Staples declined as pricing power faded and investors rotated to growth sectors. Overall, cyclicals and growth stocks outpaced defensives.
International Developed Markets
Performance across developed EAFE markets was uneven. The strongest were Spain, Japan, and Austria. Spain's banking sector and improved political stability supported gains, while Japan's TOPIX Index rose about 11%, helped by a weaker yen and ongoing governance reforms. Austria benefited from industrial and financial strength.
The weakest were Norway, Germany, and Denmark. Norway's market was hurt by softer oil prices, Germany by manufacturing weakness and high energy costs (MSCI Germany –1%), and Denmark by sluggish pharma and logistics sectors. Overall, Japan's rally offset Europe's stagnation, leading the MSCI EAFE Index to a 4.8% gain.

Emerging Markets

Emerging markets outperformed developed peers, rising over 10% in local terms. Gains were led by China, Taiwan, and South Korea, while Brazil, Indonesia, and India lagged.
China's tech shares rebounded strongly, with the Hang Seng Tech Index up 22%, helped by policy support for chipmakers and an extension of the U.S.–China trade truce. Taiwan climbed 14% on semiconductor demand, and South Korea benefited from tech and export recovery.
Brazil and Indonesia were weighed down by lower commodity prices, while India paused after earlier strength, constrained by a weaker rupee and profit-taking. Overall, EM strength came from Asia's technology rebound and policy optimism, offsetting commodity weakness elsewhere.

Global Factors
Growth stocks outpaced value by 2.75 percentage points, with the MSCI World Growth Index up 8.58% versus 5.83% for Value. Growth benefited from lower yields and strong tech performance as investors rotated back into higher-duration equities. Excitement over AI and easing policy expectations drove growth leadership, while value-heavy sectors like financials and energy lagged. This quarter marked a reversal from 2022's value dominance as investors rewarded earnings visibility and innovation themes.

Bond Markets
Global bonds delivered mixed but generally positive returns. The Bloomberg Emerging Markets Aggregate Index led with +3.40%, as EM central banks' early rate cuts and tightening spreads boosted performance. The Bloomberg Global Aggregate ex-US Index fell 0.59%, hurt by a stronger U.S. dollar and rising yields in some foreign markets.
The Bloomberg Global Aggregate Index rose ~0.6%, supported by a late-quarter U.S. Treasury rally. Bonds initially benefited from growth concerns before yields edged higher in September. Overall, investors favored higher-yielding segments, with EM and corporate debt outperforming safe-haven government bonds.

Canada Bonds
Canadian fixed income produced positive results. The Bloomberg Canada Corporate Index gained 1.73%, outperforming the Canada High Yield Index at 0.46%. Investment-grade corporates benefited from stable spreads and modestly lower yields. Canada's smaller high-yield segment lagged due to investor caution and specific weaker credits. Overall, investment-grade corporates provided the best risk-adjusted returns, reflecting preference for quality carry amid steady conditions.
Returns were nearly identical across durations, as short-term and long-term bonds both returned around 1.1%. The yield curve experienced a parallel downward shift. Both 2-year and 30-year Government of Canada bond yields fell by similar amounts, producing uniform results across maturities. This symmetry aligns with the Bank of Canada's steady policy stance and market expectations for eventual rate cuts.

Canadian Rates
Government bond yields declined and the curve re-steepened. The 2-year yield fell from 2.59% to 2.47%, and the 10-year from 3.27% to 3.18%. The curve's positive slope signaled a normalization from prior inversion and reflected reduced recession fears. Markets now expect future easing from the Bank of Canada, contributing to modest bond price gains.
US Rates
U.S. yields also fell as the curve turned positive. The 2-year Treasury declined from 3.72% to 3.61%, and the 10-year from 4.23% to 4.15%. The Fed's September 25 bps rate cut—its first since the pandemic—marked a pivot to an easier stance, driven by softer employment data and moderating inflation. With PCE inflation below 3%, bond markets priced in further cuts into 2026. The normalization of the yield curve reflected growing confidence in a soft landing and an end to the tightening cycle.

Currencies
The Canadian dollar weakened 2.29% versus the U.S. dollar, which appreciated broadly on safe-haven flows and relative U.S. strength. The greenback outperformed against currencies like the Japanese yen and Indian rupee, both pressured by dovish or fragile domestic conditions. The yen fell to multi-decade lows under ultra-loose Bank of Japan policy, while the rupee slid amid trade deficits and outflows.
In contrast, high-yielding emerging market currencies like the Mexican peso and South African rand strengthened, supported by elevated policy rates and improving risk appetite. The New Zealand dollar also firmed, helped by the RBNZ's hawkish stance. Overall, U.S. dollar strength persisted, weighing on the CAD to roughly 74 U.S. cents.

Investment manager overview

Guardian was formed in 1962 and is one of Canada's longest-established, independent investment counselling firms. Over its 50-year history, Guardian has offered its investment management expertise in balanced fund management, equity management and fixed-income management to pension fund clients, institutions, operating and endowment funds, charitable organizations, mutual funds and high net worth individuals. Guardian Capital Inc. is wholly-owned by Guardian Capital Group Limited. The parent company's common and non-voting Class A shares are listed on the Toronto Stock Exchange

Investment philosophy

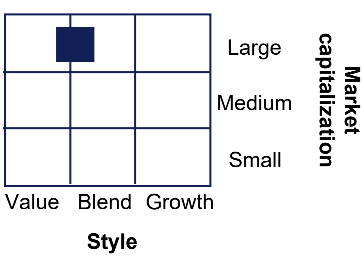
Guardian’s Equity Income investment philosophy is built around four key tenants: 1) Focus on Income Generation - income generation is a key driver of our investment process, 2) Focus on Quality - we look for strong business franchises that generate high levels of stable free cash flows exhibiting long term growth potential that can support stable and growing dividends over time, 3) Focus on Risk Management – create risk-controlled portfolios through strict adherence to mandate guidelines and our disciplined investment process, and 4) Focus on Teamwork – a team based approach to portfolio management with clear accountability for decision making.

Investment process and risk controls

The Guardian’s approach to Equity Income management is to invest in high yielding Canadian equity securities, including common stocks, REITs and similar equity securities that produce stable, predictable and growing dividends over the long-term. The Equity Income team uses a disciplined approach to portfolio management that blends rigorous fundamental bottom-up security analysis with a top-down overlay, which is implemented through a well-defined three step process:

- The initial phase in the process is to identify the investable universe by applying two screens to the S&P/TSX Composite Index. First, we look at the top 75% yielding securities within the S&P/TSX Composite Index. Then we screen out securities that fall below $1 billion market capitalization.
- In the second step of the process, the portfolio managers conduct a preliminary analysis of the securities in the investable universe to screen for minimum quality characteristics such as management track record, corporate governance, industry dynamics, and balance sheet. Only companies that meet the minimum standards will move to the next stage of research where we perform a rigorous bottom-up fundamental analysis.
- In this final stage of the process, we bring together our fundamental bottom-up analysis, security valuation work, risk controls, and sell disciplines to construct and maintain the portfolio. In addition, we overlay our top-down view of the economy, commodity prices, interest rates, etc., that can have a material impact on the performance of certain sectors/securities. However, security selection remains the key driver in the portfolio construction process. The final portfolio is constructed within clearly defined constraints to ensure proper risk controls are being applied.

Equity style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada’s largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada’s largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada’s credit unions and Desjardins

[1] GARP (Growth at a reasonable price)

[2] Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

[3] Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as atSeptember 30, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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[5] The benchmark is S&P/TSX High Dividend TR Index

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

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